

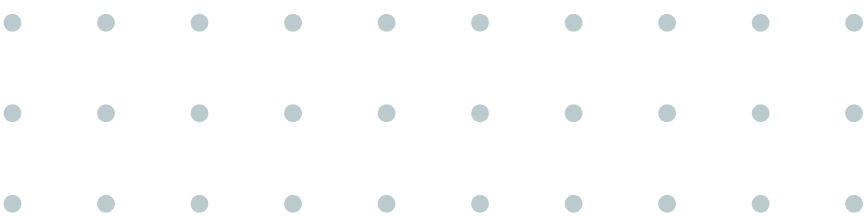
# Regression

*Introduction to Predicting Numbers with ML*  
*By Muhammad Nanda S. / Data Scientist*



# Session Objectives

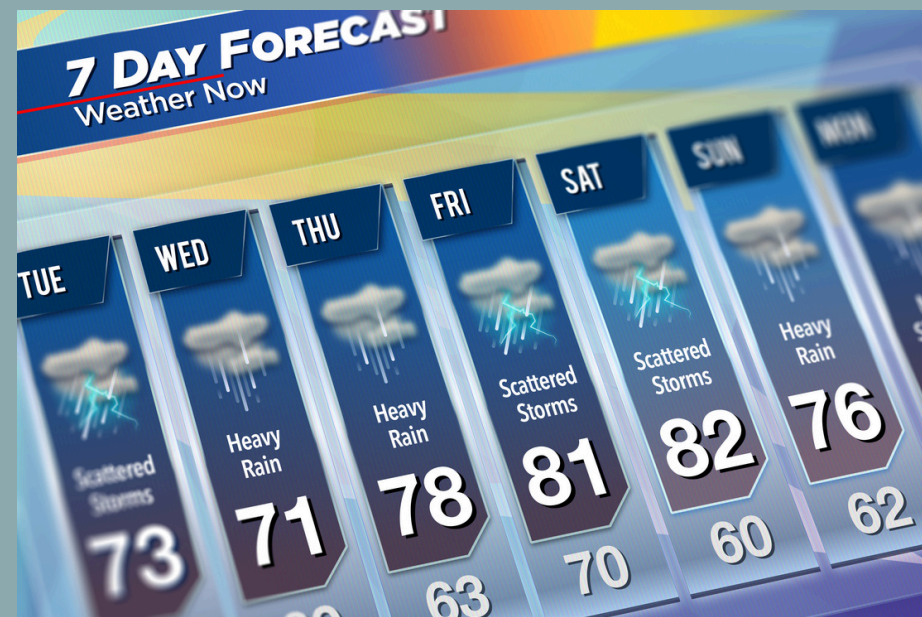
- 01. Understand **the regression concept**
- 02. Learn the **standard workflow** (pipeline) for building a ML model.
- 03. Understand **how to evaluate** a model's performance
- 04. Have **experience building ML regression models** (both industry standard and research standard).



# What is Regression?

Regression is a type of supervised learning where the goal is to predict a **continuous numerical value**.

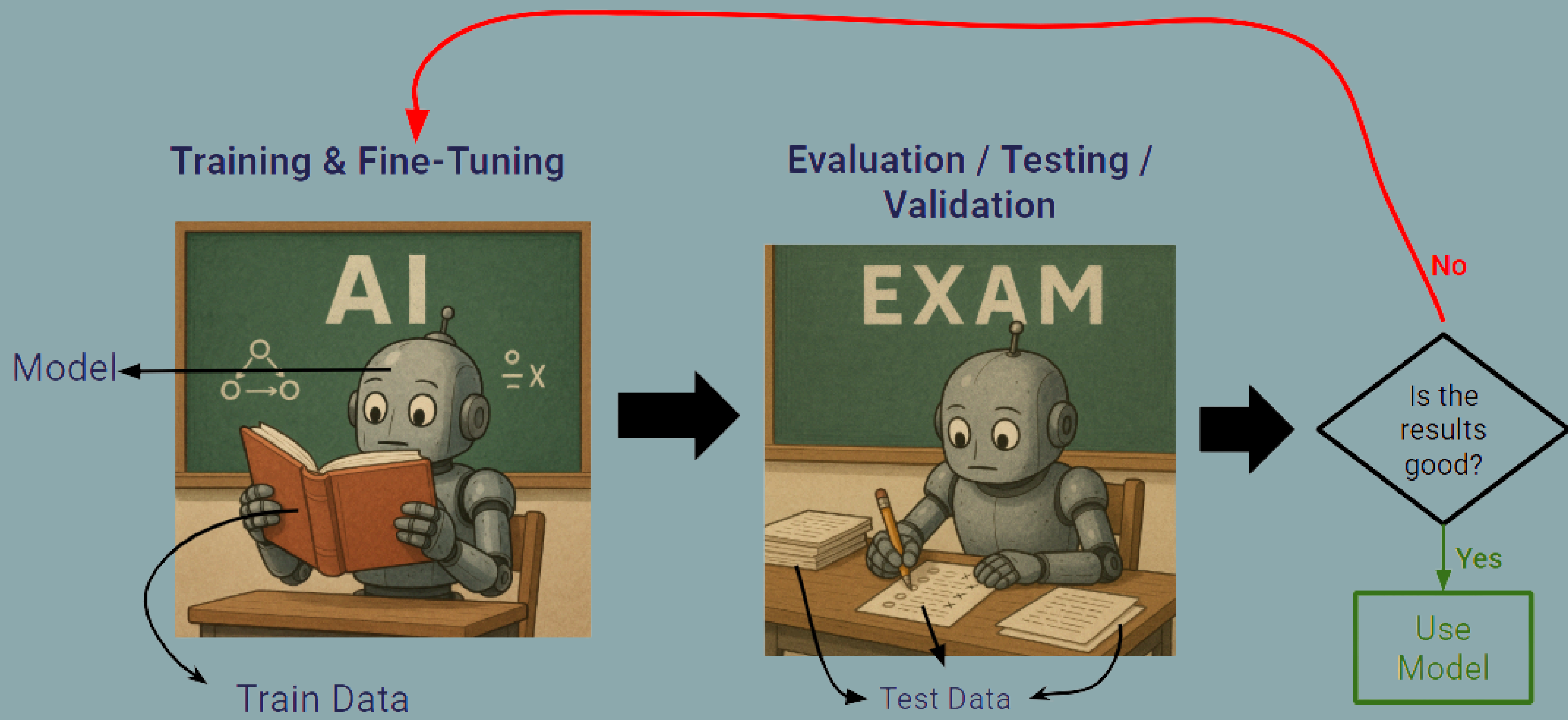
- It's about answering "How much?" or "How many?"
- The output is a number on a scale (e.g., 10.5, 1000, 3.14159).



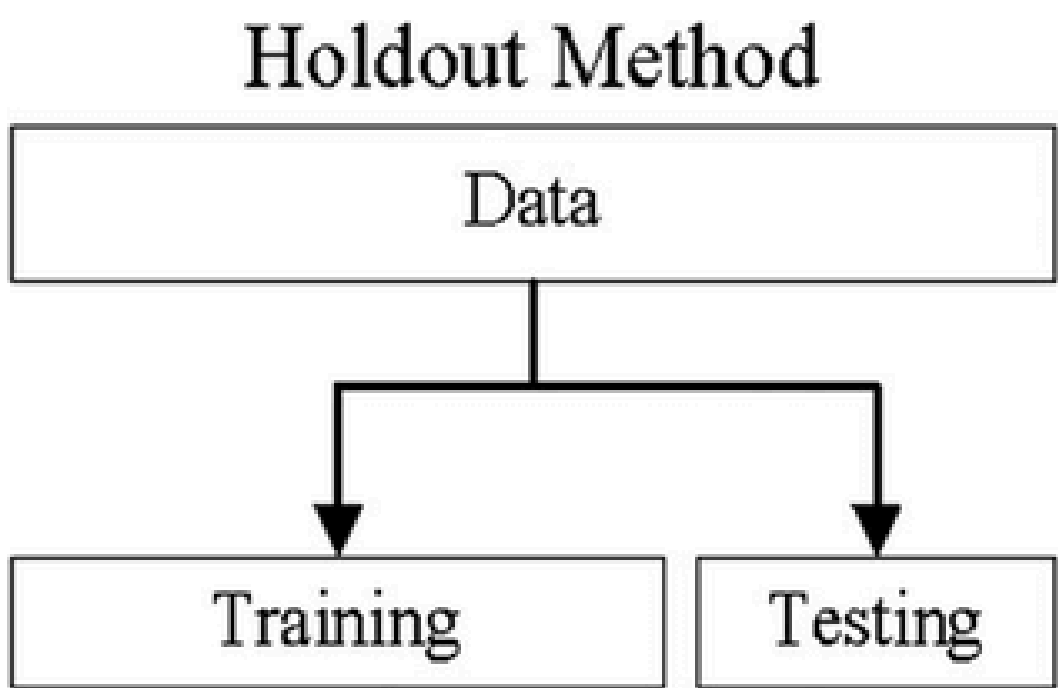
Regression use case: Estimate House Price, Weather Forecasting, Stock Market Prediction



# The Machine Learning Workflow



# How to Split Data: Hold-Out vs. Cross-Validation (CV)



5 K-fold Validation Method

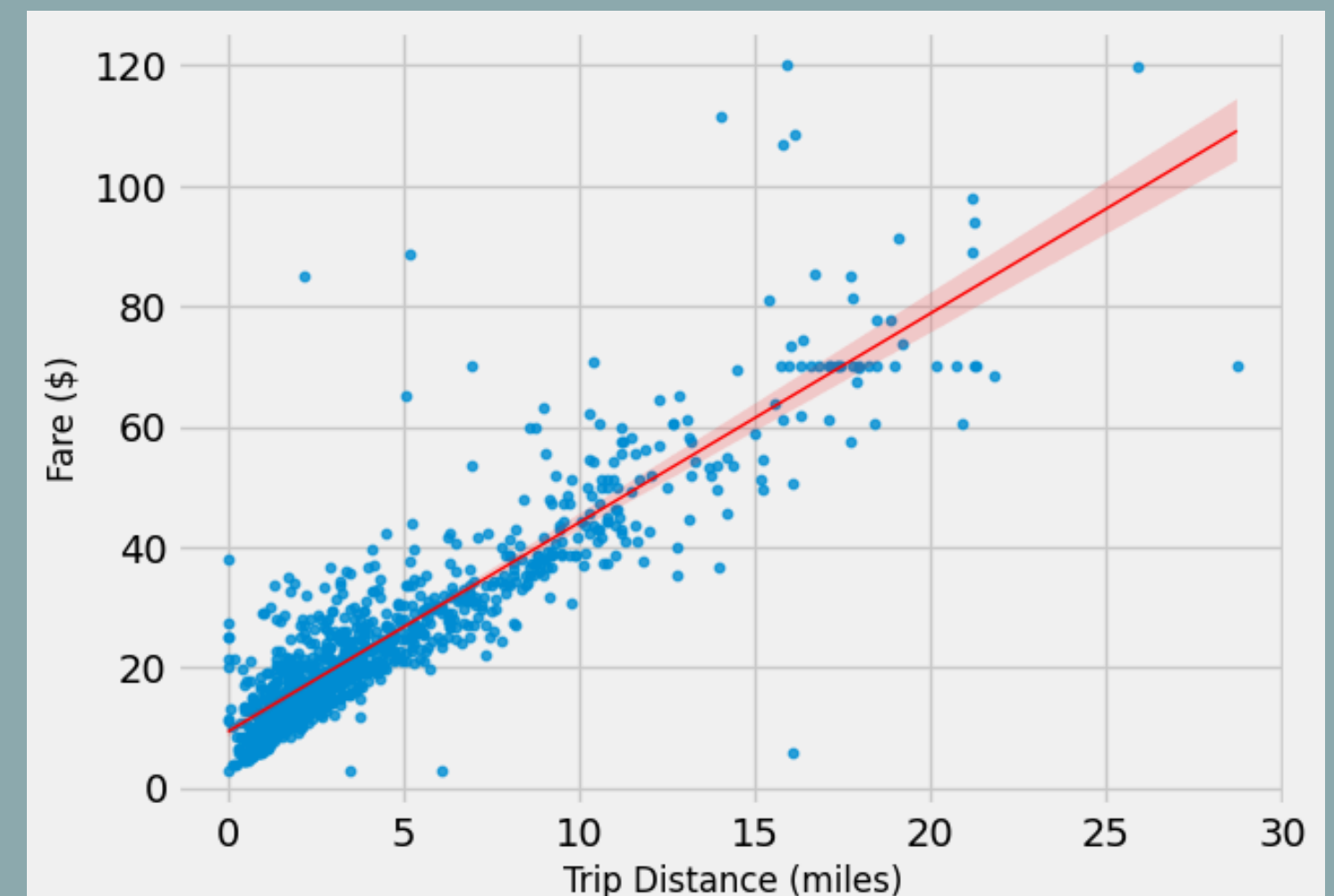
| Data  |       |       |       |       |        |
|-------|-------|-------|-------|-------|--------|
| Test  | Train | Train | Train | Train | Fold 1 |
| Train | Test  | Train | Train | Train | Fold 2 |
| Train | Train | Test  | Train | Train | Fold 3 |
| Train | Train | Train | Test  | Train | Fold 4 |
| Train | Train | Train | Train | Test  | Fold 5 |

image source: [researchgate.com](https://www.researchgate.com)



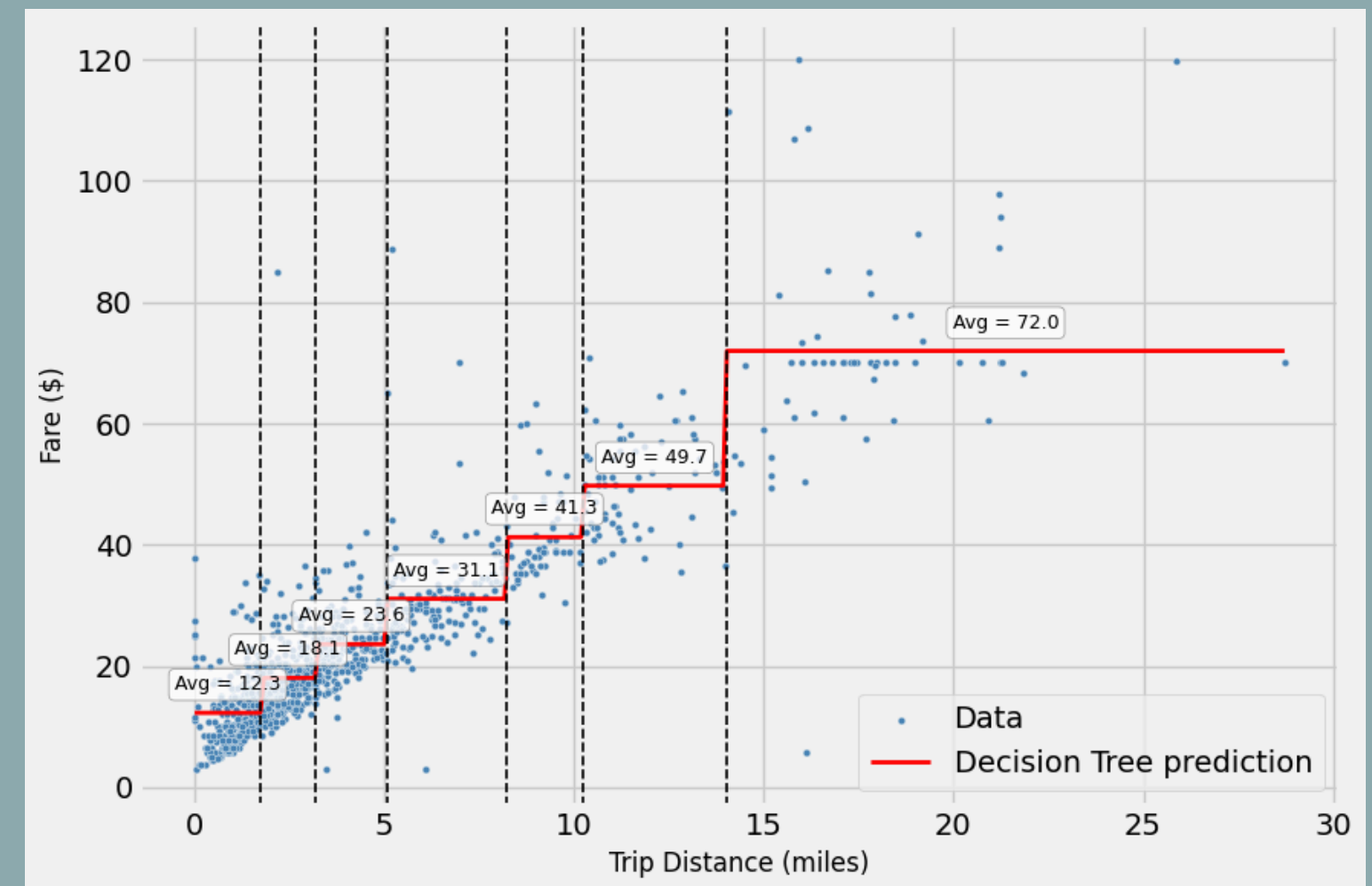
# The Basic: Linear Regression

- Finds the **best-fit straight line** through the data points.
- Pros/Cons:
  - **+** : Simple and fast to train.
  - **-** : Assumes a straight-line relationship, which isn't always true.
- Use when the relationship between features and target appears to be linear or as a baseline model.



# Decision Trees: Asking Questions to Predict

- Asks a series of yes/no questions to **split the data into groups**. The **average value of a group** is the **prediction**.
- Pros/Cons:
  - + : Can model non-linear relationships, very intuitive.
  - - : Can easily become too complex and overfit.
- Use when the relationship between features and target is complex and non-linear.



# How Do We Measure Error?

$$\text{MAE}(y, \hat{y}) = \frac{1}{n_{\text{samples}}} \sum_{i=0}^{n_{\text{samples}}-1} |y_i - \hat{y}_i|.$$

- Idea: Measures the average of absolute prediction errors; errors are in the same unit as the target.
- Use/Effect: Good for general regression **when outliers are not extreme**; less sensitive to outliers than MSE/RMSE.

$$\text{MSE}(y, \hat{y}) = \frac{1}{n_{\text{samples}}} \sum_{i=0}^{n_{\text{samples}}-1} (y_i - \hat{y}_i)^2.$$

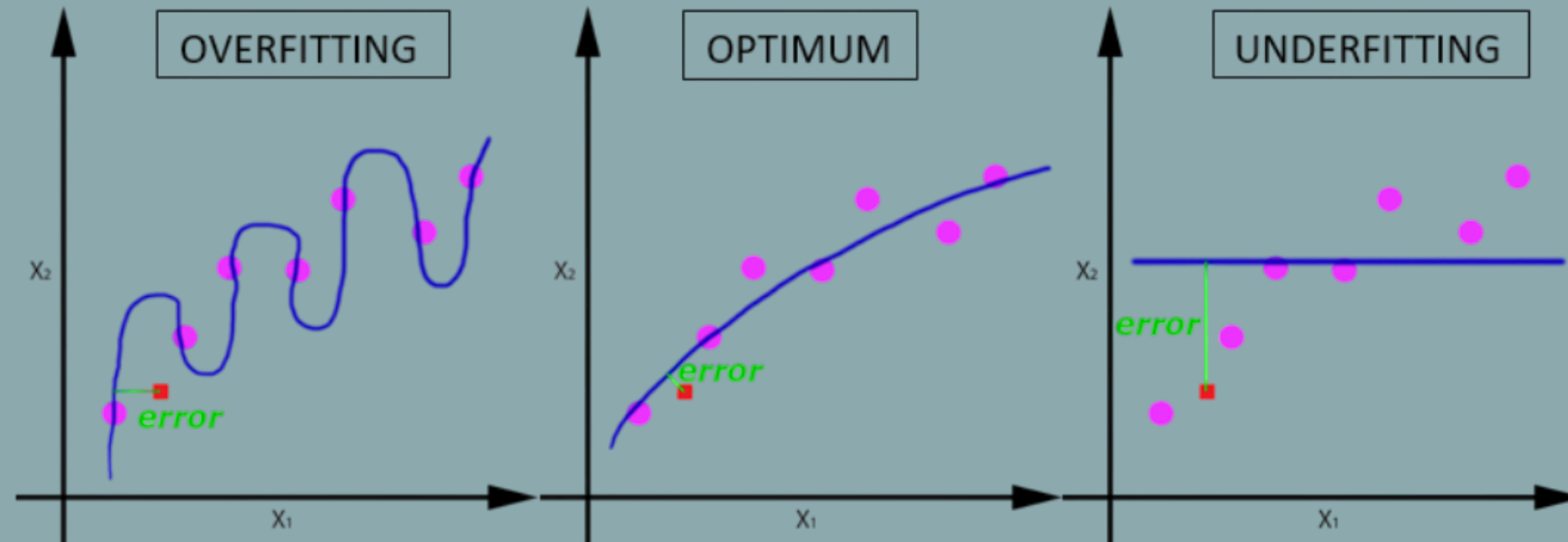
- Idea: Measures the average of squared prediction errors; highly sensitive to large errors (outliers).
- Use/Effect: Best when large errors must be penalized; suitable for linear/polynomial regression with normally distributed errors.

$$\text{MAPE}(y, \hat{y}) = \frac{1}{n_{\text{samples}}} \sum_{i=0}^{n_{\text{samples}}-1} \frac{|y_i - \hat{y}_i|}{\max(\epsilon, |y_i|)}$$

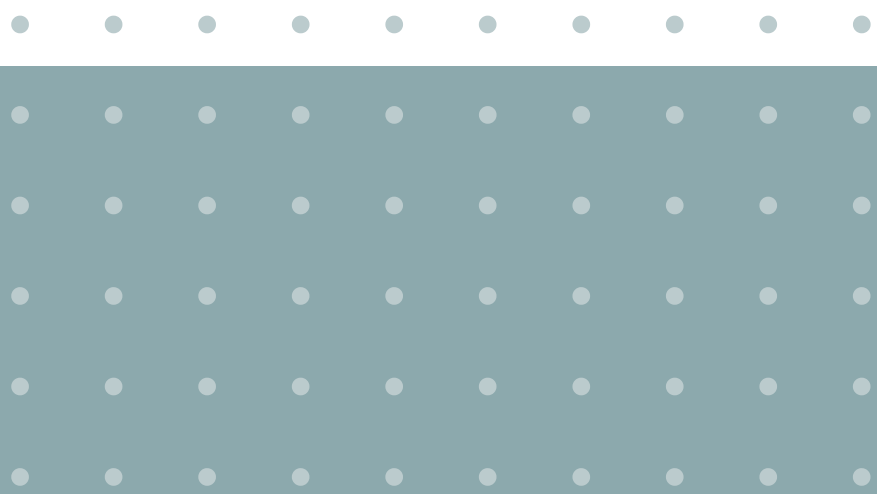
- Idea: Measures average absolute error as a percentage of actual values; gives a relative error metric.
- Use/Effect: Useful for large-scale, positive-only targets; not reliable when actual values are zero or near zero.



# The Balancing Act: Underfitting vs Overfitting



We want the model complexity where the Test Error is lowest (optimum).



# Let's Discuss!

Do you have any question?

